

Compliance Audit: Bajaj Auto Ltd

Period: FY2024-25

OVERALL RISK: MEDIUM

1. Forensic Business Intelligence

LABOUR CODE FINANCIAL IMPACT (Q3):

61 crores

one-time exceptional charge towards the past service cost arising from the changes introduced under the new labour code. This is essentially towards gratuity.

KEY PRODUCTS	MAJOR CUSTOMERS
Not extracted	Not extracted

2. Executive Summary

Overview: Bajaj Auto Ltd. demonstrates a commitment to ethical conduct and employee well-being, as evidenced by its comprehensive policies and initiatives. However, there are areas of potential risk, particularly in supply chain compliance and gender representation in leadership roles.

■ **Key Insight:** While Bajaj Auto has robust policies and practices for employee well-being and ethical conduct, there is a need for greater transparency and monitoring of human rights and environmental practices within its value chain partners.

3. Supply Chain & Vendor Intelligence

Key Vendors Identified (Related Parties):

- Refer to Annual Report Note: Related Party Disclosures

Principal Employer Liability Analysis: The company has a grievance redressal mechanism for workers, including contract workers, and ensures compliance with labour laws by its value chain partners.

4. Financial Intelligence

Revenue	EBITDA	Net Income	Emp. Cost
50,010 Crore	10,101 Crore	8,151 Crore	1,577

5A. Wages & Remuneration

Area	Status	Evidence Snippet
Minimum Wage	COMPLIANT	Permanent Employees 8.6% 22.9% 9.4%
Equal Pay	RISK IDENTIFIED	Median remuneration 3 988 28 9
Profit Sharing	N/A	NA

5B. OSH & Safety

Area	Status	Evidence Snippet
Safety Systems	COMPLIANT	All our plants are certified with ISO 45001:2018 by M/S Bureau Veritas.
Accident Records	COMPLIANT	Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked) Workers 0.08
Audit Scores	POSITIVE	We have implemented several proactive measures to ensure workplace safety.

5C. Industrial Relations

Area	Status	Evidence Snippet
Unionization	RISK IDENTIFIED	2,830 2,058 73%
Collective Bargaining	POSITIVE	This is exemplified by the timely signing of the Long-Term Wage Settlement at the Waluj plant.
Disputes Strikes	COMPLIANT	achieved lasting industrial harmony.

5D. Social Security

Area	Status	Evidence Snippet
Leave Policy	COMPLIANT	Privilege leave entitlements are recognised as a liability, in the calendar year of rendering of service, as per the rules of the Company.
Retirement Benefits	COMPLIANT	Payment for present liability of future payment of gratuity is being made to approved gratuity fund
Healthcare Welfare	COMPLIANT	employees have access to state-of-the-art health and sports facilities.

6. Workforce Profile

Category	Total	Male	Female	Turnover
Permanent Employees	2,639	2,498	N/A	9.4%
Permanent Workers	3,082	2,830	N/A	2.7%

7. Strategic Recommendations

1. Enhance monitoring and reporting of human rights and environmental practices within the supply chain.
2. Increase female representation in leadership positions to promote gender diversity.
3. Strengthen engagement with value chain partners to ensure compliance with ethical and sustainability standards.
4. Continue investing in employee well-being and skill development programs to foster a positive and productive work environment.